Economics - K-12 Level Assessment 22 Total Marks: 40 Answer all questions.

Multiple Choice (10 marks)

1. Which of the following is NOT included in GDP?
   (a) Federal government purchases of goods and services.
   (b) Imports.
   (c) State and local government purchases of goods and services.
   (d) Exports.

2. Which of the following indicates that two goods are complements?
   (a) A positive income elasticity
   (b) A horizontal demand curve
   (c) A negative cross-price elasticity
   (d) A demand elasticity greater than one

3. An effective price ceiling in the market for good X likely results in
   (a) a persistent surplus of good X.
   (b) a persistent shortage of good X.
   (c) an increase in the demand for good Y, a substitute for good X.
   (d) a decrease in the demand for good Z, a complement with good X.

4. Which of the following policies best describes supply-side fiscal policy?
   (a) An increase in the money supply
   (b) Increased government spending
   (c) Lower taxes on research and development of new technology
   (d) Higher taxes on household income

5. The demand curve for a perfectly competitive firm's product is
   (a) downward sloping and equal to the market demand curve.
   (b) perfectly elastic.
   (c) perfectly inelastic.
   (d) kinked at the going market price.

True / False (10 marks)

Answer True or False

6. True or False: Marginal revenue equals marginal cost at the point where total revenue is greater than total cost at its greatest distance.
7. True or False: A change in the price of hamburgers will not shift the demand curve for hamburgers, but will affect the quantity demanded.
8. True or False: A perfectly competitive employer hires labor until the wage equals the marginal cost of production.
9. True or False: An increase in the marginal propensity to consume tends to increase the spending multiplier in an economy.
10. True or False: In the circular-flow diagram, households provide resources to firms in exchange for wages and profits.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss the implications of equilibrium in a perfectly competitive labor market, particularly focusing on how it affects job opportunities for individuals seeking employment.
12. Discuss the concept of diminishing marginal utility and explain how it relates to consumer behavior when the price of a good increases.

End of Paper